THE ASSET MANAGEMENT INDUSTRY

Learning Outcome

- describe aspects of the asset management industry

The portfolio management process and investor types are broad components of the asset management industry, which is an integral component of the global financial services sector. At the end of 2017, the industry managed more than US$79 trillion of assets owned by a broad range of institutional and individual investors (Exhibit 18).[12] Although nearly 80% of the world's professionally managed assets are in North America and Europe, the fastest-growing markets are in Asia and Latin America.

Exhibit 18:

Global Assets under Management (AUM) by Region (year-end 2017)

	Market Size (US$ trillions)	Market Share (%)
North America	37.4	47%
Europe	22.2	28
Japan and Australia	6.2	8
Chinese mainland	4.2	5
Asia (excluding Japan, Australia, and Chinese mainland)	3.5	4
Latin America	1.8	2
Middle East and Africa	1.4	2
Total Global AUM	79.2	100%

Notes: Total Global AUM in this exhibit represents assets professionally managed in exchange for a fee. The total of US$79.2 trillion includes certain offshore assets that are not represented in the specific regional categories above.
Source: Boston Consulting Group.

The asset management industry is highly competitive. The universe of firms in the industry is broad, ranging from "pure-play" independent asset managers to diversified commercial banks, insurance companies, and brokerages that offer asset management services in addition to their core business activities. Given the increasingly global nature of the industry, many asset managers have investment research and distribution offices around the world. An asset manager is commonly referred to as a **buy-side firm** given that it uses (buys) the services of sell-side firms. A **sell-side firm** is a broker/dealer that sells securities and provides independent investment research and recommendations to their clients (i.e., buy-side firms).

Asset managers offer a broad range of strategies. Specialist asset managers may focus on a specific asset class (e.g., emerging market equities) or style (e.g., quantitative investing), while "full service" managers typically offer a wide variety of asset classes and styles. Another type of asset manager firm is a "multi-boutique," in which a holding company owns several asset management firms that typically have specialized investment strategies. The multi-boutique structure allows individual asset management firms to retain their own unique investment cultures—and often equity ownership stakes—while also benefiting from the centralized, shared services of the holding company (e.g., technology, sales and marketing, operations, and legal services).

under management and industry revenue (Exhibit 19), although passive management has demonstrated significant growth.

Exhibit 19:

Global Asset Management Industry Assets and Revenue (as of year-end 2017)

Category	Assets (US$ trillions)	Revenue (US$ billions)	Market Share by Assets (%)	Market Share by Revenue (%)
Actively Managed	**64**	**258**	**80%**	**94%**
Alternatives	12	117	15	43
Active Specialties	15	55	19	20
Multi Asset Class	11	27	14	10
Core	26	59	33	21
Passively Managed	**16**	**17**	**20%**	**6%**
Total	**80**	**275**	**100%**	**100%**

Note: Some columns may not sum precisely because of rounding.
Source: Boston Consulting Group.

Through fundamental research, quantitative research, or a combination of both, active asset managers generally attempt to outperform either predetermined performance benchmarks, such as the S&P 500, or, for multi-asset class portfolios, a combination of benchmarks. In contrast to active managers, passive managers attempt to replicate the returns of a market index. Despite the rise of passive management in asset share, its share of industry revenue remains small given the low management fees relative to active management. As Exhibit 19 illustrates, passive management represents a fifth of global assets under management but only 6% of industry revenue.

Asset managers are increasingly offering other strategies beyond traditional market-cap-weighted exposures. Some of these other strategies, commonly known as **smart beta**, are based on such factors as size, value, momentum, or dividend characteristics. Smart beta involves the use of simple, transparent, rules-based strategies as a basis for investment decisions. Typically, smart beta strategies feature somewhat higher management fees and higher portfolio turnover relative to passive market-cap weighted strategies.

Traditional versus Alternative Asset Managers

Asset managers are typically categorized as either “traditional” or “alternative.” Traditional managers generally focus on long-only equity, fixed-income, and multi-asset investment strategies, generating most of their revenues from asset-based management fees. Alternative asset managers, however, focus on hedge fund, private equity, and venture capital strategies, among others, while generating revenue from both management and performance fees (or “carried interest”). As Exhibit 19 demonstrates, alternative asset managers have a relatively low proportion of total global assets under management but generate a disproportionately high total of industry revenue.

Increasingly, the line between traditional and alternative managers has blurred. Many traditional managers have introduced higher-margin alternative products to clients. Concurrently, alternative managers seeking to reduce the revenue volatility associated with performance fees have increasingly offered retail versions of their institutional alternative strategies (typically referred to as “liquid alternatives”) as well as long-only investment strategies. These liquid alternatives are often offered through highly regulated

The ownership structure of an asset manager can play an important role in retaining and incentivizing key personnel. Portfolio managers who have personal capital invested in their firms or investment strategies are often viewed favorably by potential investors because of perceived alignment of management and client interests.

The majority of asset management firms are privately owned, typically by individuals who either established their firms or play key roles in their firms' management. Privately owned firms are typically structured as limited liability companies or limited partnerships.

While less common than privately owned managers, publicly traded asset managers have substantial assets under management. A prevalent ownership form in the industry is represented by asset management divisions of large, diversified financial services companies that offer asset management alongside insurance and banking services.

Asset Management Industry Trends

The asset management industry is evolving and continues to be shaped by socio-economic trends, shifting investor demands, advances in technology, and the expansion of global capital markets. Three key trends that we discuss in this section include the growth of passive investing, "big data" in the investment process, and the emergence of robo-advisers in the wealth management industry.

Growth of Passive Investing

As we saw in Exhibit 19, passively managed assets comprised nearly a fifth of global assets under management at the end of 2017. Management of passive assets is concentrated among a reasonably small group of asset managers and tends to be concentrated in equity strategies. As shown in Exhibit 20, the top three managers account for 70% of industry's assets. One key catalyst supporting the growth of passive investing is low cost for investors—management fees for index (or other passive) funds are often a fraction of those for active strategies. Another catalyst is the challenge that many active asset managers face in generating ex ante alpha, especially in somewhat more-efficiently priced markets, such as large-cap US equities.

Exhibit 20: Top Five ETP Managers Globally (as of 30 July 2017)

ETP Provider	Assets (US$ billions)	Market Share (%)
iShares	1,583	37
Vanguard	803	19
State Street Global Advisors	596	14
PowerShares	132	3
Nomura	100	2

Source: ETFGI.

Use of "Big Data" in the Investment Process

The prevalence of new data is extraordinary: In 2013, IBM estimated that 90% of the world's entire universe of data was created in the previous two years. The digitization of data and an exponential increase in computing power and data storage capacity have expanded additional information sources for asset managers. Massive amounts of data containing information of potential value to investors are created and captured daily. These data include both structured data—such as order book data and security returns—and data lacking recognizable structure, which is generated by a vast number of activities on the internet and elsewhere (e.g., compiled search information). The term "big data" is used to refer to these massively large datasets and their analysis.

computers are used to "read" earnings and economic data releases much faster than humans can and react with short-term trading strategies.

Third-party research vendors are supplying a vast range of relevant new data for asset managers, such as data used for time-series and predictive models. Among the most popular new sources of data are social media data and imagery and sensor data.

- **Social media data**. Real-time media and content outlets, such as Twitter and Facebook, provide meaningful market and company-specific announcements for investors and asset managers. In addition, the aggregation and analysis of social media users can aid key market sentiment indicators (e.g., short-term directional market movements) and indicate potential specific user trends related to products and services.
- **Imagery and sensor data**. Satellite imagery and geolocation devices provide vast real-time data to investment professionals. As the cost of launching and maintaining satellites has decreased, more satellites have been launched to track sensors and imagery that are relevant to economic considerations (e.g., weather conditions, cargo ship traffic patterns) and company-specific considerations (e.g., retailer parking capacity/usage, tracking of retail customers).

The challenge for asset managers is to discover data with predictive potential and to do so faster than fellow market participants. Many market participants are participating in an "information arms race" that has required substantial investments in specialized human capital (e.g., programmers, data scientists), technology, and information technology infrastructure to effectively convert various forms of structured and unstructured data into alpha-generating portfolio and security-level decisions.

Robo-Advisers: An Expanding Wealth Management Channel

Robo-advisers represent technology solutions that use automation and investment algorithms to provide several wealth management services—notably, investment planning, asset allocation, tax loss harvesting, and investment strategy selection. Investment and advice services provided by robo-advisers typically reflect an investor's general investment goals and risk tolerance preferences (often obtained from an investor questionnaire). Robo-adviser platforms range from exclusively digital investment advice platforms to hybrid offerings that offer both digital investment advice and the services of a human financial adviser.

At the end of 2017, robo-advisers managed an estimated US$180 billion in assets,[13] and market participants expect that number to grow considerably over time. This expected rapid growth in robo-advisory assets is based on several industry trends:

- **Growing demand from "mass affluent" and younger investors**: Traditional investment advice has often underserved younger and "mass affluent" investors with lower relative levels of investable assets. Given the efficiencies of robo-advisers and the scalability of technology, customized but standardized investment advice now can be offered to a wide range and size of investors.
- **Lower fees**: The cost of digital investment advice provided by robo-advisers is often a fraction of traditional investment advice channels because of scalability. For example, in the United States, a typical financial adviser may charge a 1% annual advisory fee[14] based on a client's assets, while robo-adviser fees typically average 0.20% annually.[15] Additionally, robo-advisers often rely on lower fee underlying portfolio investment options, such as index funds or ETFs, when constructing portfolios for clients.
- **New entrants**: Reflecting low barriers to entry, large wealth management firms have introduced robo-adviser solutions to service certain customer segments and appeal to a new generation of investors. In addition to these large wealth managers, other less-traditional entrants, such as insurance companies and asset managers, are developing solutions to cross-sell into their existing clients. Many market observers expect that

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